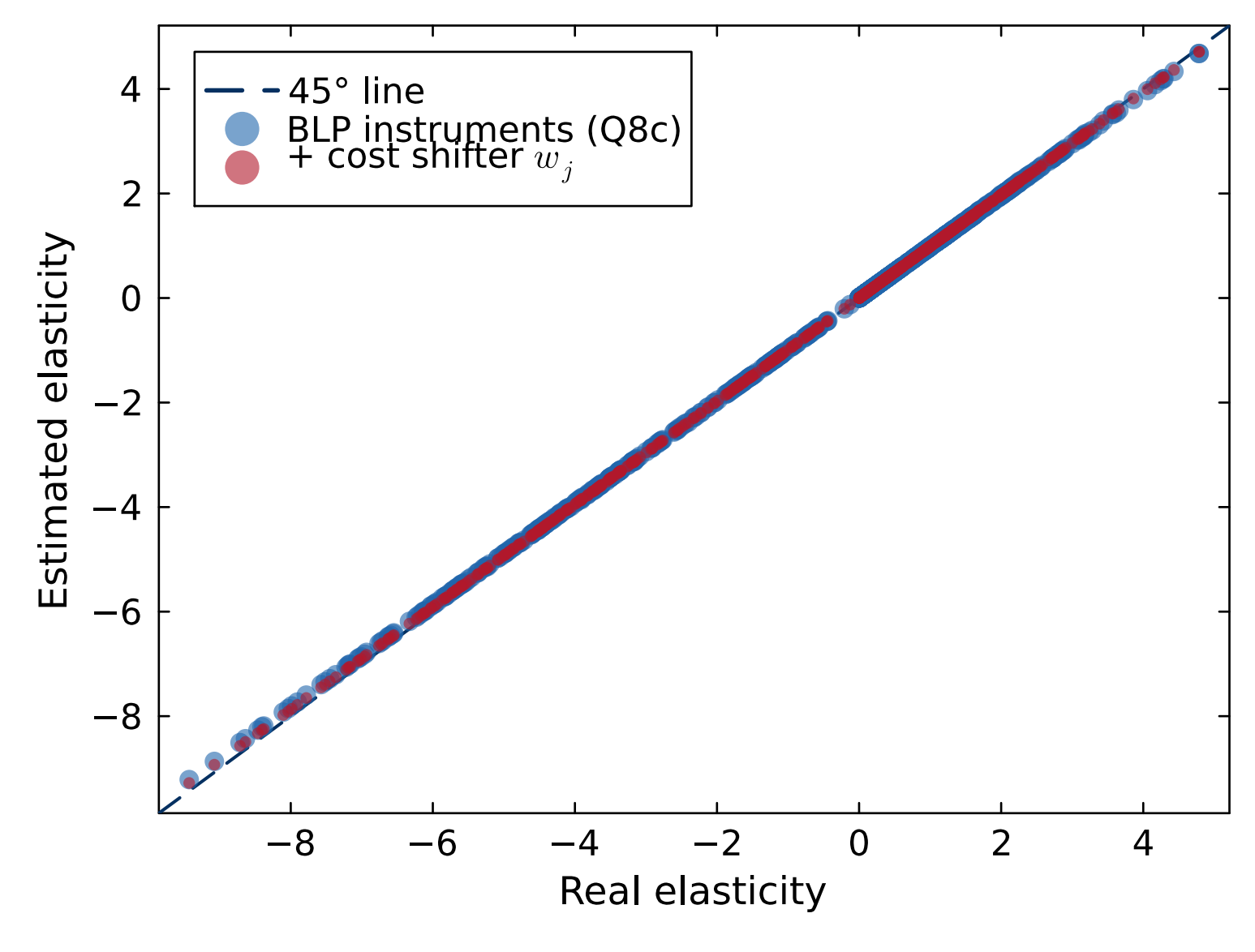

45° line
BLP instruments (Q8c)
+ cost shifter w_j
Estimated elasticity
Real elasticity
4
2
0
−2
−4
−6
−8
−8
−6
−4
−2
0
2
4